

TABLE 14-3 DJIA Issues Meeting Certain Investment Criteria at the End of 1970

	American Can	American Tol. & Tel.	Anacosta	Swift	Woolworth	Average 5 Companies
Price Dec. 31, 1970	39%	48%	21	30%	26 $\frac{1}{2}$	
Price/earnings, 1970	11.0 X	12.3 X	6.7 X	13.5 X	14.4 X	11.6 X
Price/earnings, 3 years	10.5 X	12.5 X	5.4 X	18.1 X ^b	15.1 X	12.3 X
Price/book value	99%	108%	38%	113%	148%	112%
Current assets/current liabilities	2.2 X	n.a.	2.9 X	2.3 X	1.8 X ^c	2.3 X
Net current assets/debt	110%	n.a.	120%	141%	190%	140%
Stability index ^d	85	100	72	77	99	86
Growth ^e	55%	53%	78%	25%	73%	57%

^a See definition on p. 338.^b In view of Swift's good showing in the prior year 1970, we waive the 1968-1970 deficiency here.^c The small deficiency here below 2 to 1 was offset by margin for additional debt financing.^d n.a. = not applicable. American Tol. & Tel.'s debt was less than its stock equity.

In Table 14-4 we present a résumé of the 15 issues in the Dow Jones public-utility average. For comparison, Table 14-5 gives a similar picture of a random selection of fifteen other utilities taken from the New York Stock Exchange list.

As 1972 began the defensive investor could have had quite a wide choice of utility common stocks, each of which would have met our requirements for both performance and price. These companies offered him everything he had a right to demand from simply chosen common-stock investments. In comparison with prominent industrial companies as represented by the DJIA, they offered almost as good a record of past growth, plus smaller fluctuations in the annual figures—both at a lower price in relation to earnings and assets. The dividend return was significantly higher. The position of the utilities as regulated monopolies is assuredly more of an advantage than a disadvantage for the conservative investor. Under law they are entitled to charge rates sufficiently remunerative to attract the capital they need for their continuous expansion,